specified on the bill. As long as you pay your bill in full by the due date, you won't be charged interest. Unfortunately, with most cards, the grace period exists only for those credit card users who pay their full balance each month. If you don't regularly pay off your old bill in full, you'll be charged interest immediately on any new purchases you make. In other words, if you carry a balance from month to month—even a very small balance—you lose the grace period and everything you buy will start racking up interest from day one. To reduce your interest charges, pay your bill as soon as you get it.

- **Never miss a payment.** If for some reason you can't pay your bill the day you get it, at least make sure you pay it on time. Thanks to modern technology, late fees are usually applied to your account the minute after your payment is due—even if it's a weekend or holiday. And these fees are outrageous: Many banks now charge $40 for a single late payment. Worse, more and more banks punish payers who are late by 30 days or more by jacking up their interest rates to "penalty rates" of up to 32%. And don't forget: Late payments go on your credit report and affect your credit score, making it harder for you to get loans and low rates in the future. (There's more about credit reports and scores at the end of this chapter.)
  One tip: If you're transferring a balance from a high-rate to a low-rate card, keep making at least the minimum payment on your old accounts until you have confirmation that the transfer has gone through so that you avoid any late fees. If your old issuer ends up owing you money, just call to request a refund check.
- **Know how interest is calculated.** Most lenders calculate interest using a system called the **average daily balance method including new purchases.** Here's how it works. The issuer divides up the year into 30-day periods known as billing cycles. On the last day of each billing cycle, the issuer sends you a bill. Say you owe $500. If you pay the